

FINAL PROJECT – SEGMENTATION

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Dataset: Supersale store retail

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External Factors

- Retail market shifting to e-commerce + integrating digital.
- Speed shipping continues to be a top priority for retail consumers

Product

- Orders for office supplies contribute 74.69% and 31.19% revenue.
- The technology contributes 30% of orders and 36% of revenue.

Category	Order Count	% Orders	Revenue	% Revenue
Office Supplies	3676	74.69	705422.3340	31.19
Furniture	1727	35.09	728658.5757	32.22
Technology	1519	30.86	827455.8730	36.59

Geographic

- The top 5 States

	State	% Revenue	Avg Delivery Days
0	California	19.734654	4.0
1	New York	13.546591	4.0
2	Texas	7.453893	4.0
3	Washington	5.978539	4.0
4	Pennsylvania	5.141488	4.0

- The lowest States

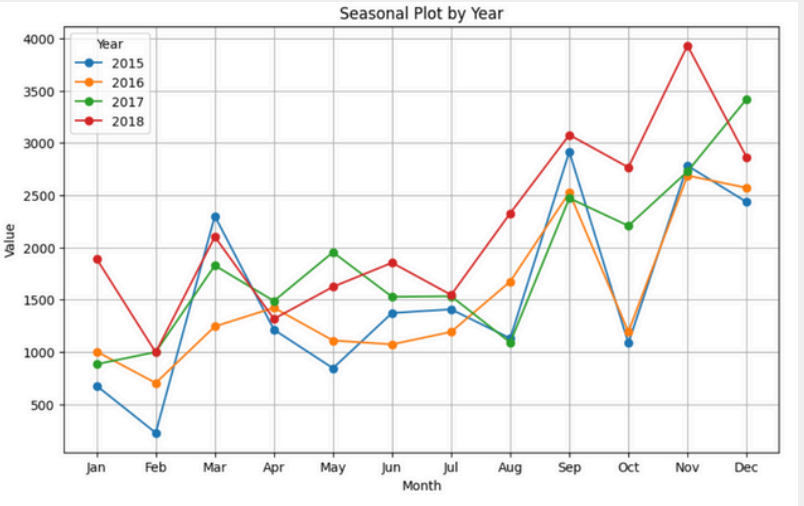
	State	% Revenue	Avg Delivery Days
0	North Dakota	0.040676	2.0
1	West Virginia	0.053496	4.0
2	Maine	0.056180	5.0
3	South Dakota	0.058171	5.0
4	Wyoming	0.070887	5.0

Customers

- The segment by RFM

	Recency	Frequency	Monetary	RFM_SCORE	Segment
Customer ID					
AA-10315	184	5	5563.560	225	Hibernating
AA-10375	19	9	1056.390	532	Potential Loyalists
AA-10480	259	4	1790.512	113	Hibernating
AA-10645	55	6	5086.935	325	About to Sleep
AB-10015	415	3	886.156	111	Hibernating

- The peak sales in Mar, Sep and Nov



Key Insights

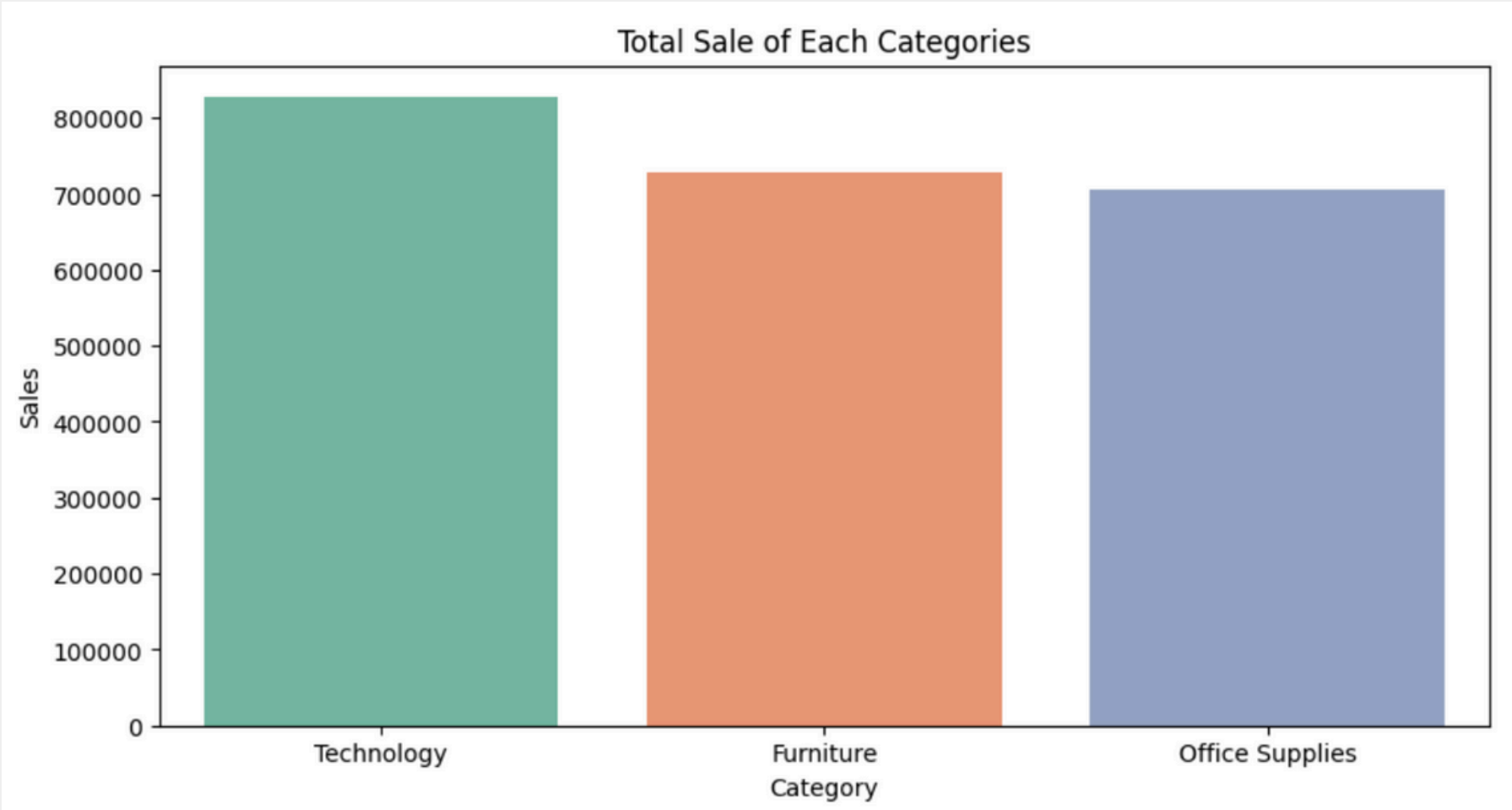
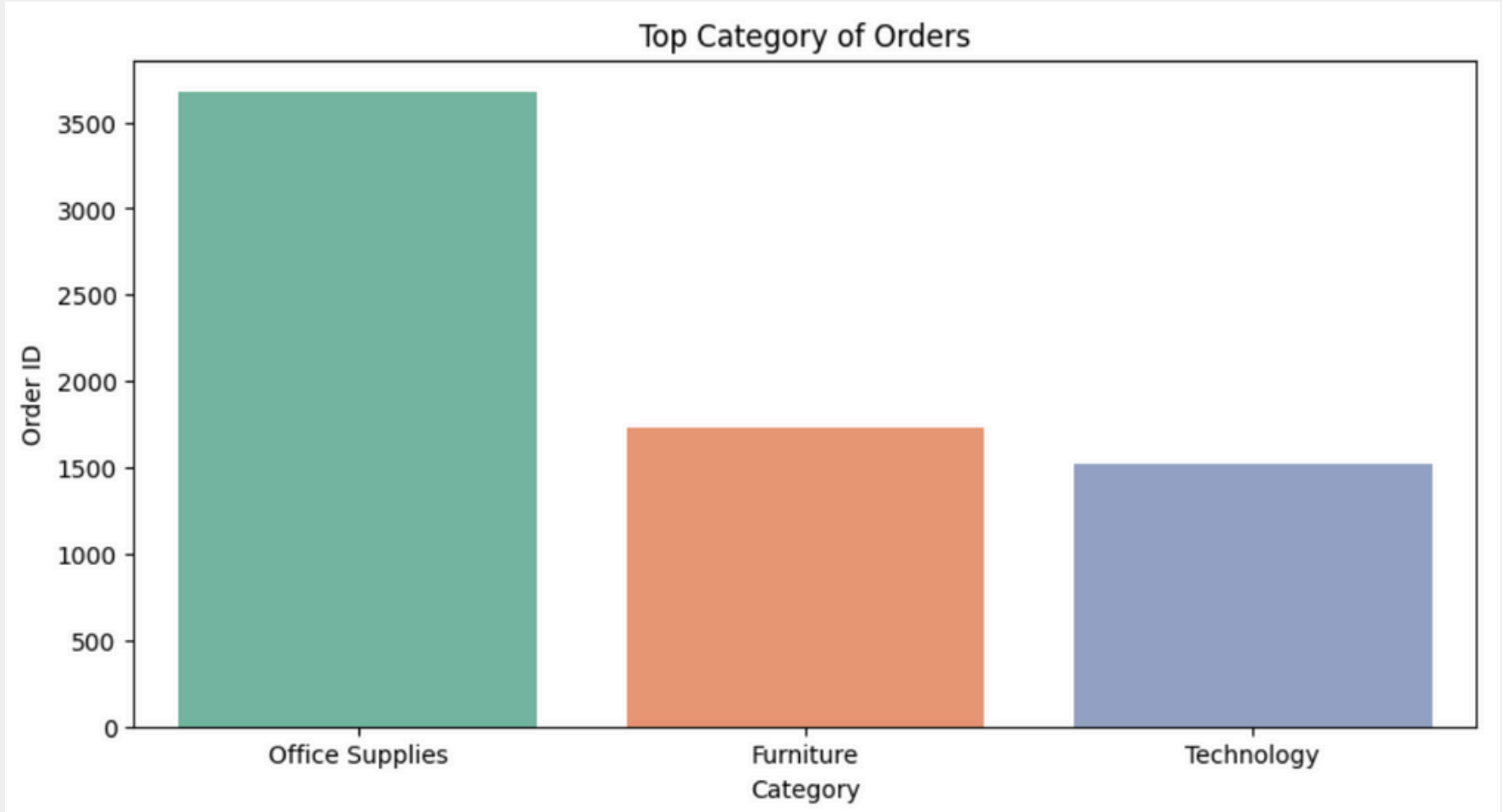
- **External Factors:** Retail marketing is shifting toward e-commerce with digital integration.
- **Product:**Office Supplies generates the highest number of orders but contributes the least revenue, whereas Technology records the fewest orders yet delivers the highest revenue contribution.
- **Geographic:** California contributes the highest retail revenue (19%) but has a median delivery time of 4 days. Whereas North Dakota generates the lowest revenue with an average delivery time of just 2 days.
- **Customers:** 3 key customer groups–Hibernating, Potential Loyal, and About to Sleep–account for the largest share but show lower retention rates. Purchase activity peaks in March, September, and November.

OGSM ONE PAGE

Project Name	Objective	Increase the sales revenue of the superstore retail	
Analyse the Superstore Retail	Strategy	Objective	
Goals	Strategy 1: Enhance shipping speed in California States	Actions	Metrics
KPIs		- Build/partner with regional warehouses to cut shipping time. - Launch delivery guarantees service (2-day or expedited shipping).	% revenue growth vs baseline - Average delivery time reduced from 4 → 2 days
- Increase sales revenue to +15% - Reduce average shipping time by 30% - Increase Customer Retention Rate by +20% - Increase Customer Lifetime Values by +15%		- Trigger win-back campaign (SMS/Email,Promotion,...) - Loyalty program - Create market basket compo + with promotion to personalized experiences	- Conversion rate from (SMS/Email/Promotion) % Retention rate
Current		- Develop more seasonal campaign to driven sales - Flash sale with messaging	- The amount of sale growth in month vs last month year - The promotion redemption rate % Retention rate
- Revenue contribution in 2018: 31% - Shipping lead time ranges from 1 to 7 days - Customer repurchase interval ranges from 0 to 800 days - Typical purchase value per customer is approximately \$800 to \$3,000	Strategy 3: Boost low-revenue months (February, October, December)	- Run targeted promotions/discount bundles in Technology - Improve shipping speed for technology products	% sale and order of technology category - Number of sale technology monthly vs other category % revenue growth
	Strategy 4: Boost sales of Technology Category		

APPENDIX – SHARE REALITY ONE PAGE (1)

PRODUCT



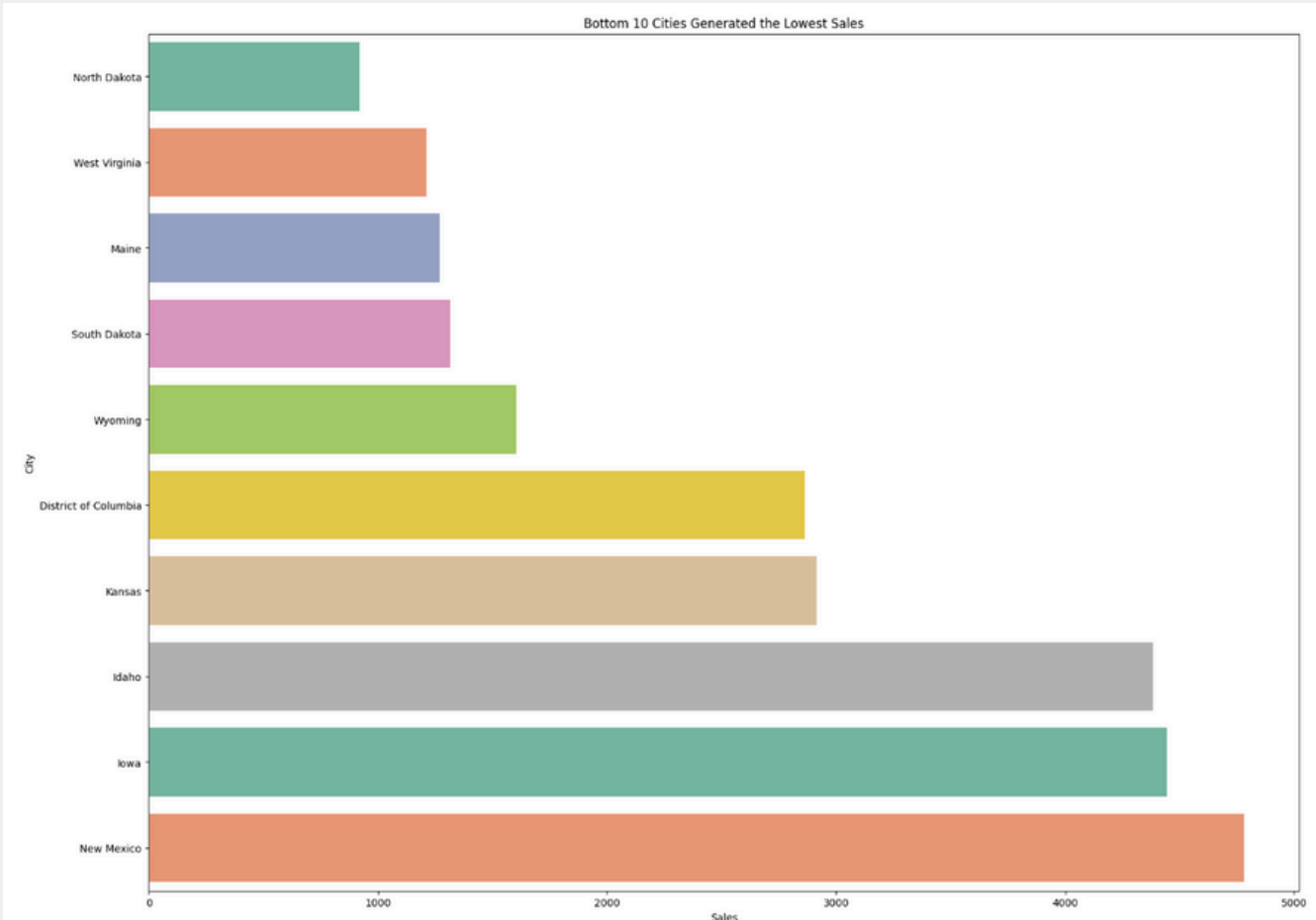
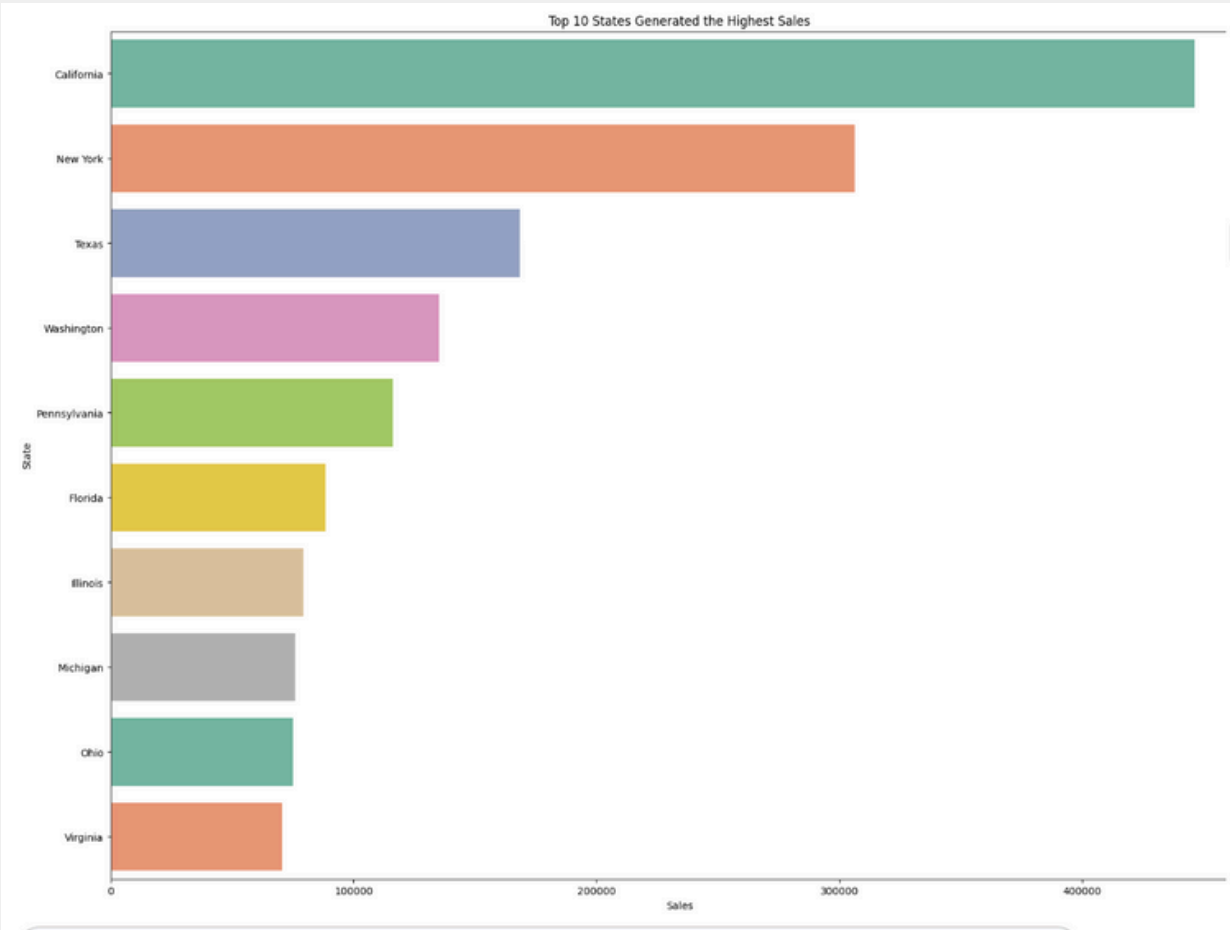
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Office Supplies generates the highest number of orders but contributes the least revenue, whereas Technology records the fewest orders yet delivers the highest revenue contribution.

APPENDIX – SHARE REALITY ONE PAGE (2)

GEOGRAPHIC

- The State that generates the highest revenue is California, and the State that distributes the lowest revenue is North Dakota



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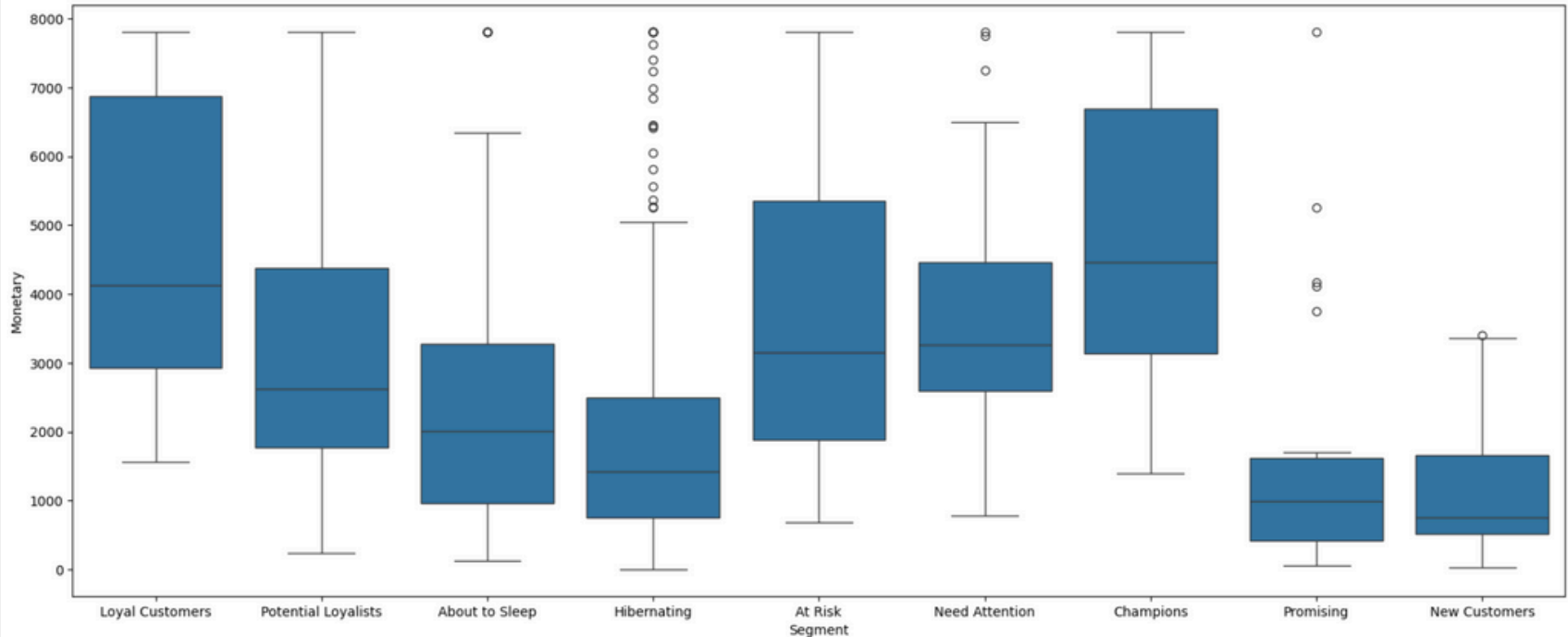
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2	Maine	0.056180	5.0
3	South Dakota	0.058171	5.0
4	Wyoming	0.070887	5.0

- California contributes 19%, with an average delivery time of four days. North Dakota has the lowest amount of revenue yet the highest average of delivery days.

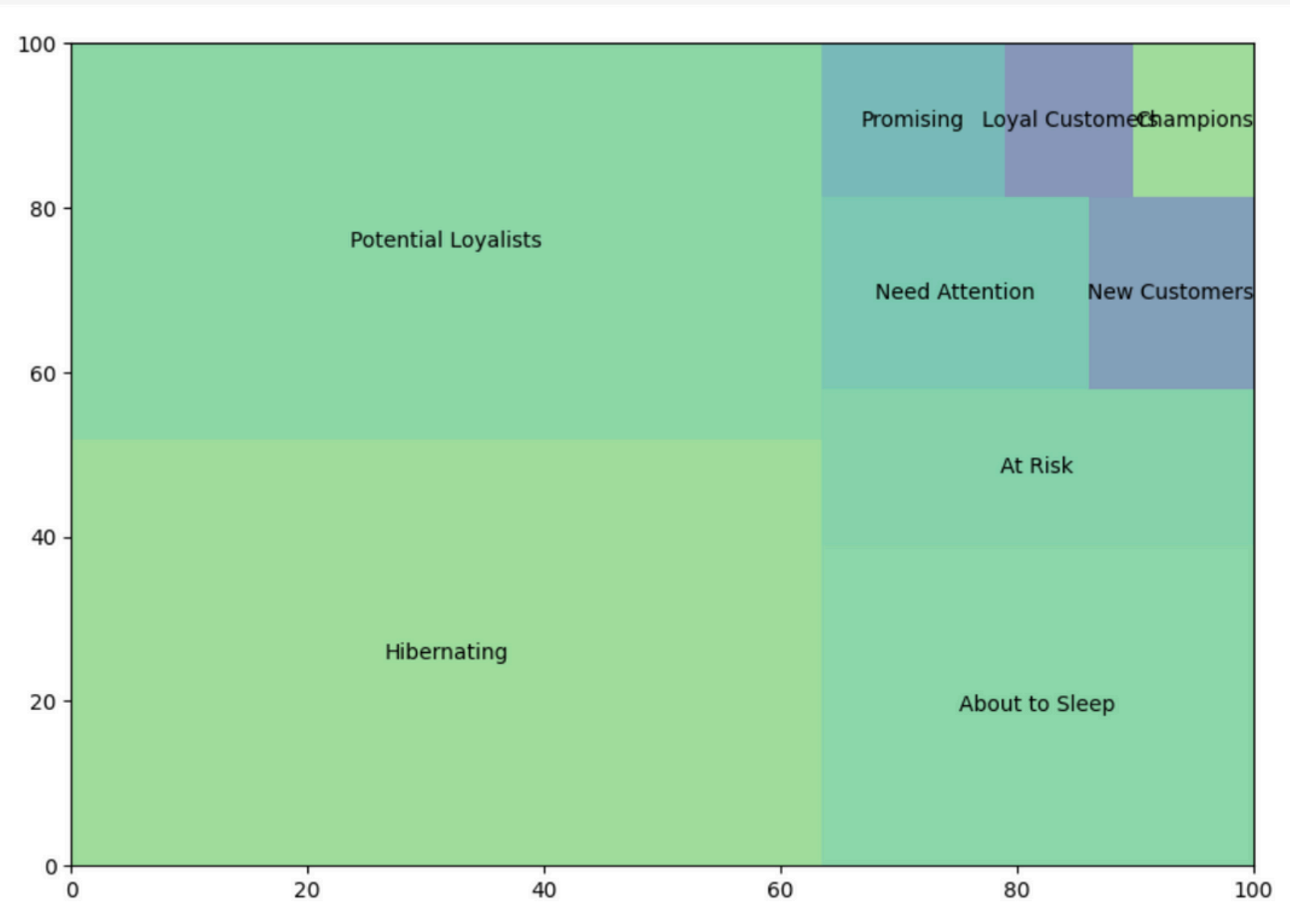
APPENDIX – SHARE REALITY ONE PAGE (3)

CUSTOMERS (1)

The segment possesses the high number of customers are Potential Loyalists, Hibernating, and About to sleep



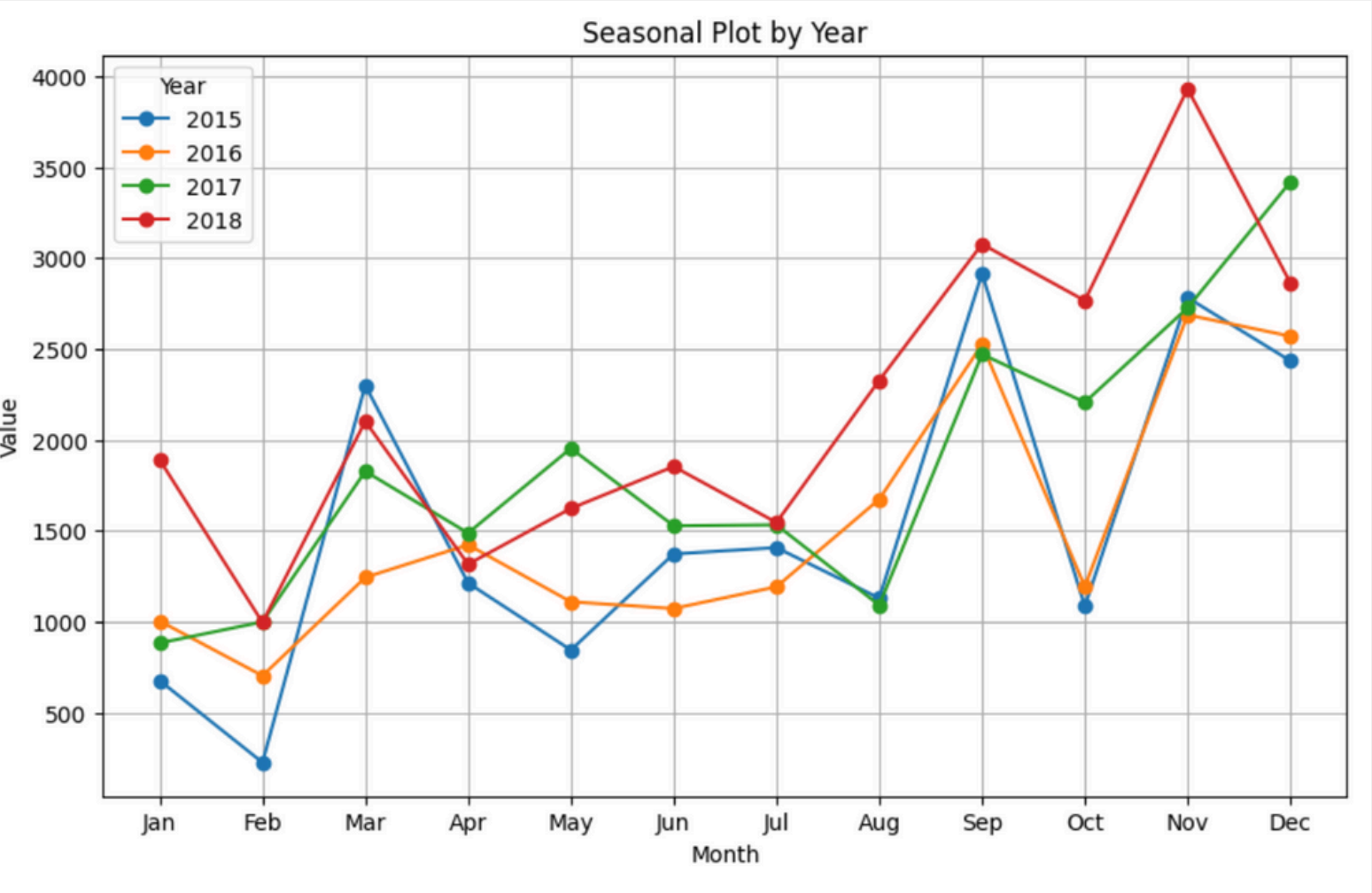
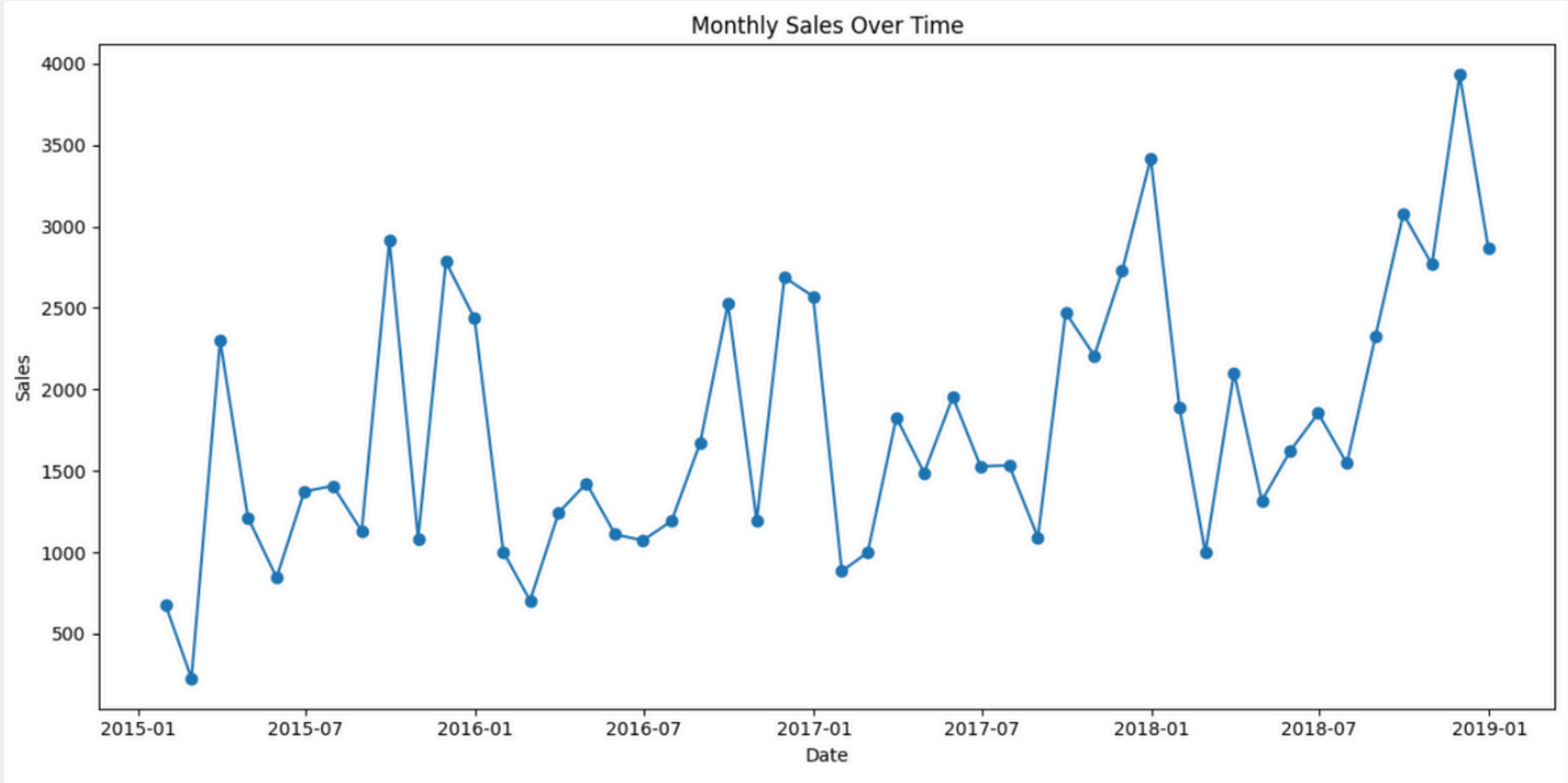
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AA-10375	19	9	1056.390	5	3	2	532	Potential Loyalists
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AB-10015	415	3	886.156	1	1	1	111	Hibernating



APPENDIX – SHARE REALITY ONE PAGE (3)

CUSTOMERS (2)

Purchase activity peaks in March, September, and November



APPENDIX – Reference

The trend of retail market

<https://explodingtopics.com/blog/retail-trends#2-increasing-consumer-demand-for-same-day-delivery>

The Superstore sale Retail Dataset

<https://www.kaggle.com/datasets/rohitsahoo/sales-forecasting/code>

My Colab Project

<https://colab.research.google.com/drive/1jVBGjsNWfNOhCU2AuRuK7RzgPt0CiAvm?usp=sharing>

https://drive.google.com/drive/folders/1EtR6Qio6y1OeSsMgQCIs6VB11PGTtBMf?usp=drive_link